## Part- A Answers

| 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
|---|---|---|---|---|---|---|---|---|---|
| d | a | a | b | a | d | a | b | c | b |
| 11 | 12 | 13 | 14 | 15 | 16 | 17 | 18 | 19 | 20 |
| b | a | b | c | b | b | c | b | a | d |

## Part-B Answer the following questions in one or two sentences.

**21.** Define cost.

**22.** Define cost function.

**23.** What do you mean by fixed cost?

**24.** Define Revenue.

**25.** Explicit Cost - Define.

**26.** Give the definition for 'Real Cost'.

**27.** What is meant by Sunk cost?

## Part-C Answer the following questions in one paragraph.

**28.** Distinguish between fixed cost and variable cost.

**29.** State the differences between money cost and real cost.

**30.** Distinguish between explicit cost and implicit cost.

**31.** Define opportunity cost and provide an example.

**32.** State the relationship between AC and MC.

**33.** Write a short note on Marginal Revenue.

**34.** Discuss the Long run cost curves with suitable diagram.

## Part-D Answer the following questions in about a page

**35.** If total cost = $10+Q^3$, find out AC, AVC, TFC, AFC when Q=5.

**36.** Discuss the short run cost curves with suitable diagram.

**37.** Bring out the relationship between AR and MR curves under various price conditions.



Chapter-04.indd 97 1/2/2023 11:45:10 AM